No Rooms of Their Own

The purchase of a house/ flat of one's own is among the fondest wishes of a middle-class person. For years, Aishwarya Kumari, an HR professional with an IT company in Noida, dreamed of buying a home near her office. Aishwarya's husband works in New Delhi; her six-year-old daughter attends a Noida school. Despite house rents that inch up annually and the hassle of shifting houses, the couple has postponed their dream indefinitely. The main reason: persistent high inflation that corrodes aspirations. "We spend more on basic household things in comparison to three-four years back and there is no sign of reversal," says Aishwarya.

The couple's income has not increased in tandem with rising inflation and they do not have enough savings to purchase a home. Apartment prices, too, have doubled in Noida from pre-Covid days. To add to all this is the uncertainty in the IT sector itself, bracing for the return of Donald Trump as US president.

Firms, too, have been cautious, and are trying to reduce costs by not replenishing their workforce. All these have forced the couple to choose to wait, and wait.

-Himanshu Shekhar

washing machine category—a staple of middle-class urban households—has stagnated, indicating delayed purchases.

Industry has been pivoting to these tough times. For instance, Crompton, one of the largest mixer grinder players in India, adopted a "Crompton 2.0" strategy two years ago to grow. As part of it, the company focuses on launching more product variants to cater to different market cycles and penetrating rural markets. "This approach has served us well in the current economic environment," says Kaleeswaran Arunachalam, group CFO & head of strategy, Crompton Greaves Consumer Electricals. So, the sales of 500-watt or lower mixer grinders, an affordable category launched two years back, have been growing by over 30 per cent and become a Rs 300 crore business today. Alongside, the premium high voltage four-jar mixers, nutri blenders, juicers and other high-end appliances continue to drive growth for the company.



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– RAJANI SINHA
Chief Economist, CareEdge Ratings

A TIME TO MEND

For new demand to emerge, real wage growth is critical. "Consumption is a response to income growth," says Devendra Kumar Pant, chief economist at India Ratings & Research. "At the aggregate level, a 1 per cent change in real wages, which is nominal wage adjusted for inflation, leads to a 110-basis point change in real Private Financial Consumption Expenditure." This is perhaps why experts and industry bodies are urging the government to help boost consumption. "The Centre focused on capex growth in the past few years," says Rajani Sinha, chief economist, CareEdge Ratings, "resulting in high growth. Now, it needs to focus on boosting consumption." One way to do this, perhaps, is through a cut in personal income tax, she adds.

Indeed, consumers and companies have pinned their hopes on the budget to release the animal spirits of the middle-class consumer. The Confederation of Indian Industry (CII) wants the government to "focus on enhancing disposable incomes and stimulating spending to sustain economic momentum". One of its recommendations is to reduce the excise duty on fuel. The central excise duty accounts for nearly 21 per cent of the retail price for petrol and 18 per cent for diesel. These duties have not been adjusted since May 2022, despite the 40-odd per cent decrease in global crude prices. Lowering excise duty on fuel would help reduce inflation and increase disposable incomes, CII says.

The industry body has also recommended reducing marginal tax rates for personal income up to Rs 20 lakh per annum. Madan Sabnavis, chief economist at Bank of Baroda, also advocates reduction in taxes. "They will have to target the entire middle class rather than just the lower middle class," he says. The government could also consider increasing the daily minimum wage under MGNREGS from Rs 267 to Rs 375 as suggested by the Expert Committee on Fixing National Minimum Wage in 2017. It could also issue consumption vouchers to low-income groups.

Given that bank deposits as a proportion of households' financial assets have declined from 56.4 per cent in FY20 to 45.2 per cent in FY24, CII suggests taxing interest income from deposits at a lower rate and reducing the lock-in period for fixed deposits with preferential tax treatment from the current five to three years. The rationalisation of GST rates is another area of concern. As Congress president Mallikarjun Kharge said on January 9, "Nine types of GST rates make it complex and absurd, not a 'Good and Simple Tax'."

Liberate the middle class and you could trigger a virtuous cycle of consumption, higher growth and higher tax revenue. The Modi government needs to move fast on solutions, for without the middle class of India shining, the dream of Viksit Bharat will remain a mere mirage. ■

-with Amitabh Srivastava and Jumana Shah